

FEDERAL MARITIME COMMISSION

Docket No. 17-09

FIAT CHRYSLER AUTOMOBILES NV, FCA US LLC, AND FCA ITALY S.P.A.

v.

**WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN
LOGISTICS AMERICAS LLC, EUKOR CAR CARRIERS INC.,
NIPPON YUSEN KABUSHIKI KAISHA, NYK LINE (NORTH AMERICA) INC.,
MITSUI O.S.K. LINES, LTD., MOL (AMERICA) INC.,
KAWASAKI KISEN KAISHA, LTD., "K" LINE AMERICA, INC.,
COMPAÑÍA SUD AMERICAN DE VAPORES S.A., AND HOEGH AUTOLINERS AS**

**AMENDED MOTION AND CONSOLIDATED MEMORANDUM OF RESPONDENTS
WALLENIOUS WILHELMSSEN LOGISTICS AS, WALLENIOUS WILHELMSSEN
LOGISTICS AMERICAS LLC, AND EUKOR CAR CARRIERS INC.
FOR CLARIFICATION OF THE CONFIDENTIALITY PROVISIONS
OF THE APRIL 2, 2019 ORDER AND INITIAL DECISION
APPROVING A CONFIDENTIAL SETTLEMENT**

Respondents Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, and EUKOR Car Carriers Inc. (collectively, "WWL/EUKOR"), by way of their amended motion for clarification of the confidentiality provisions of the April 2, 2019 order and initial decision approving a confidential settlement between complainants Fiat Chrysler Automobiles NV, FCA USA LLC, and FCA Italy S.p.A. (collectively, "FCA") and respondents Mitsui O.S.K. Lines, Ltd. and MOL (America) Inc. (collectively, "MOL"), respectfully represent as follows:

BACKGROUND

1. FCA originally filed this action against all respondents on or about October 6, 2017, which was docketed under No. 17-09.

2. In the complaint, FCA seeks relief, among other things, to the effect “[t]hat [all r]espondents be found jointly and severally liable for the conduct alleged [in the complaint] and any reparations awarded[.]” Compl., prayer for relief ¶ 6.

3. Since the October 6, 2017 filing of the complaint, all parties have proceeded based on FCA’s request for joint and several liability as to all respondents.

4. On March 26, 2019, FCA and MOL filed and served their joint motion and memorandum for approval of their settlement agreement, dismissal with prejudice of the complaint against MOL, and treatment of the settlement agreement as confidential (the “FCA/MOL joint motion”). The terms of the settlement agreement were not disclosed to all parties; FCA/MOL filed the settlement agreement separately with the Secretary of the Commission and sought that it be designated as “confidential” as to all persons/entities, including all other respondents.

5. Because the FCA/MOL joint motion was a dispositive motion, *see* 46 C.F.R. § 502.69(g), any response thereto was due within 15 days of service of that motion, *see* 46 C.F.R. § 502.70(b), or by Wednesday, April 10, 2019.

6. However, on April 2, 2019 -- before the deadline for a response had been reached -- an initial decision and order granting the relief requested in the FCA/MOL joint motion issued. Specifically, the April 2, 2019 initial decision and order granted FCA’s/MOL’s “request for confidential treatment of the settlement[.]”

7. Because the terms and conditions of the settlement agreement have a direct and proximate effect on FCA's claim for joint and several liability against all remaining respondents, the relief granted should be clarified to provide for disclosure of the settlement agreement to WWL/EUKOR.

8. As required by 46 C.F.R. § 502.71(a), on April 4, 2019, WWL/EUKOR sent an email to counsel for FCA and counsel for MOL, seeking to engage "in a good faith effort to determine whether there is any opposition to the limited disclosure of the settlement agreement and, if there is opposition, to narrow the areas of disagreement." FCA and MOL were requested to

advise whether FCA and MOL are willing to provide copies of the settlement agreement to WWL/EUKOR, subject, of course, to appropriate restrictions on its use solely for the purposes of the defense of this action, and shall not be used by WWL/EUKOR for any business, commercial, competitive, personal or other purpose, and shall not be disclosed by WWL/EUKOR to anyone other than the WWL/EUKOR parties and their in-house counsel, outside counsel, outside experts or consultants retained by outside counsel, secretarial, paralegal, clerical, duplicating and data processing personnel of the foregoing, the FMC, any deponent, and any vendor retained by or for the parties to assist outside counsel.

That same email advised that "if FCA and/or MOL are unwilling to provide the settlement agreement under the strictures outlined here, WWL/EUKOR will move for that relief." It further requested that FCA and MOL "let [WWL/EUKOR] know what position, if any, FCA and/or MOL is/are taking in respect of this request by no later than noon on Tuesday, April 9, 2019; otherwise, WWL/EUKOR will file their motion for clarification accordingly."

9. Neither FCA nor MOL responded by the noon, Tuesday, April 9, 2019 deadline.

10. Instead, at 2:02 p.m., counsel for FCA left a voice mail message advising that FCA and MOL had conferred and were unwilling to provide the settlement agreement under the strictures proposed in the April 4, 2019 email, claiming that any disclosure at this time was “premature.” By an email at 2:20 p.m., counsel for FCA reiterated that

FCA and MOL’s position is that WWL’s request for the settlement agreement and/or settlement amount is premature. If a restitution order is entered in this case, the parties can litigate the issue of whether WWL is entitled to a setoff and, if the FMC decides WWL is entitled to a setoff, we can then work out a process to confidentially disclose settlement amounts paid.

11. As a result, this motion for clarification is ripe for disposition.

MOTION FOR CLARIFICATION

12. Specifically, WWL/EUKOR seek clarification in respect of two aspects of the FCA/MOL joint motion and the April 2, 2019 initial decision and order: (a) the apparent provision that the settlement agreement should be confidential not only as to the general public but also as to non-settling respondents; and (b) the lack (to the extent discernable from the public filing) of a provision in the settlement agreement that all amounts paid by MOL are a set-off against claims against the remaining respondents. WWL/EUKOR do not oppose confidentiality as to the general public. However, neither Commission nor federal court precedent justify holding the settlement agreement confidential as to non-settling respondents, and such confidentiality violates the rights of the non-settling respondents. Moreover, because there is no indication in either the FCA/MOL joint motion or in the April 2, 2019 initial decision and order that the settlement agreement provides for set-off of MOL’s settlement payments against claims for any non-settling respondent, disclosure of the settlement agreement to WWL/EUKOR is necessary.

13. For the avoidance of doubt, WWL/EUKOR have no objection to the settlement agreement being confidential as to the general public. However, because WWL/EUKOR are entitled to know the amount of any set-off to which they may be entitled in the event of an adverse judgement, and are entitled to confirm that the FCA/MOL settlement agreement provides for such set-off, WWL/EUKOR's request for clarification that the confidentiality provisions of the April 2, 2019 initial decision and order do not apply to WWL/EUKOR is not premature, and the settlement agreement should not be confidential as to WWL/EUKOR.

14. **Commission precedent.** Precedent decided by the Commission indicates that non-settling respondents have a right to set-off¹ any payment by a settling respondent against any liability attributed to the non-settling respondent. For example, in the August 31, 2017 order in *Kobel v. Hapag-Lloyd, A.G.*, Docket 10-06, docket entry 148, the Commission approved a settlement agreement that was confidential as to the general public, but was disclosed to the non-settling respondent. See Docket 10-06, docket entry 145 at 1. Rule 5, 46 C.F.R § 502.5, as amended effective December 22, 2016, requires that a party seeking confidential treatment for a settlement agreement file a motion "justifying the confidential treatment" and show "good cause" for confidential treatment. 46 C.F.R § 502.5(b). Neither FCA nor MOL have attempted to show good cause for confidential treatment of the settlement agreement as to non-settling respondents; they do not even reference non-settling respondents in the FCA/MOL joint motion.

¹ By relying on the right to set-off, WWL/EUKOR do not suggest that the joint and several liability claimed by FCA is appropriate, or that contribution, allocation or indemnity are inappropriate in the event of an adverse verdict; any discussion of contribution or allocation is premature until there is a finding of liability. See *Mitsui O.S.K Lines Ltd. v. Global Link Logistics, et al.*, Docket 09-01, docket entry 91, at 24-27, 37, 54-56 (Dye, dissenting, *contra*), 67-68 (Khoury, concurring). WWL/EUKOR do suggest that, by demanding joint and several liability among all respondents, FCA has made -- and MOL has concurred in making -- joint and several liability relevant to these proceedings.

If FCA and MOL have good cause for keeping any provisions in the settlement agreement confidential from the non-settling respondents, FCA and MOL have an obligation to articulate what those provisions are and why they justify confidentiality as to non-settling respondents.

15. In assessing whether to approve the proffered settlement agreement in *Kobel*, the Commission also addressed the importance of the settlement agreement containing an express provision for set-off. In approving the *Kobel* settlement agreement, the Commission stated:

And, importantly, although [the non-settling respondent] is jointly and severally liable for the reparations award, the proposed settlement agreement provides that [the settling respondent]'s settlement payment will serve as a credit against that award. See *McDermott, Inc. v. Amclyde*, 511 U.S. 202, 208, (1994) ("It is generally agreed that when a plaintiff settles with one of several joint tortfeasors, the non-settling defendants are entitled to a credit for that settlement.").

[*Id.* at docket entry 148 at 4.]

Applying that ruling here, WWL/EUKOR likewise are entitled to a similar set-off provision in any FCA/MOL agreement.

16. FCA and MOL rely on *Global Link Logistics, Inc. v. Hapag-Lloyd, A.G.*, Docket 13-07, docket entry 25, to support their argument for confidentiality. There are three noteworthy characteristics to this decision which render it inapplicable to the FCA/MOL joint motion. **First**, unlike here, it only addresses confidentiality as to the general public, as there was no non-settling respondent against which joint and several liability was asserted; it provides no guidance on the question of whether non-settling respondents are entitled to a copy of the unredacted settlement agreement. **Second**, the Commission noted that "no other party has expressed interest in having the Settlement Agreement made available to the public." Docket Entry 25 at * 13. In contrast, WWL/EUKOR do not challenge confidentiality as to the general

public, just to their entitlement to set-off of whatever MOL has paid in the settlement. **Third**, *Global Link* was based on Rule 5 as then in effect; the Commission specifically noted that, after June 24, 2015, “the confidential filing must be accompanied by a motion justifying confidential treatment.” (citation omitted; emphasis supplied). Docket 13-07, docket entry 25 at 12 n. 2. Stated plainly, parties seeking confidential treatment for a settlement agreement under current Rule 5 have an affirmative obligation to demonstrate that confidentiality is appropriate. The FCA/MOL joint motion fails to do so in respect of the non-settling respondents.

17. Also, neither FCA nor MOL has identified any harm that either would incur by the limited disclosure of the settlement agreement as proposed by WWL/EUKOR. Indeed, by their untimely responses to WWL’s/EUKOR’s request for a meet-and-confer, FCA and MOL concede that disclosure of the settlement agreement to WWL/EUKOR ultimately is proper; without explaining the whys or wherefores of their objection, FCA’s and MOL’s only objection to this request is that the disclosure of the settlement agreement now somehow is premature. That claim, without more, is simply insufficient to bar disclosure of the settlement agreement in light of FCA’s claim of joint and several liability.

18. **Federal court precedent.** Furthermore, federal courts consistently order the production, subject to protective orders, of confidential settlement agreements between plaintiffs and settling defendants when the plaintiff has alleged joint and several liability. *See, e.g., Gaedeke Holdings VII, LTD. v. Mills*, No. 11-649, 2015 U.S. Dist. LEXIS 68037, at *6-7 (W.D. Okla. May 27, 2015) (ordering production of confidential settlement agreements to non-settling defendants, subject to “attorneys-eyes-only” protective order); *Griffin v. Mashariki*, 96-6400, 1997 U.S. Dist. LEXIS 19325, at *7 (S.D.N.Y. Dec. 5, 1997) (ordering production of confidential settlement agreement subject to protective order and limited to review by counsel).

19. In our federal courts, three separate arguments support compelling the production of settlement agreements to non-settling respondents: (1) the non-settling defendants/respondents are entitled to know how the settlement limits potential liability in damages when the plaintiff/complainant has alleged joint-and-several liability, (2) the non-settling defendants/respondents are entitled to “ascertain whether there is evidence of any quid pro quo between [p]laintiffs[/complainants] and any settling party who may be a witness in the case,” and (3) the non-settling defendants/respondents should be permitted to “expose the bias or prejudice of the settling parties as witnesses.” *Gaedeke Holdings VII, LTD.*, 2015 U.S. Dist. LEXIS 68037, at *4. (collecting cases); *Barclay v. Gressit*, No. 12-156, 2013 U.S. Dist. LEXIS 103518, at *8-9 (D. Me. July 24, 2013) (ordering production of settlement agreement between plaintiff and joint tortfeasor); *Heartland Surgical Specialty Hosp., LLC v. Midwest Div., Inc.*, No. 05-2164, 2007 U.S. Dist. LEXIS 31718, at *19 (D. Kan. Apr. 27, 2007) (“Thus, the terms of any settlement agreements with dismissed defendants or their representative appear to be relevant to the possible bias or prejudice of important witnesses.”); *White v. Kenneth Warren & Son, Ltd.*, 203 F.R.D. 364, 367 (N.D. Ill. 2001) (“Courts have allowed discovery of settlement documents in order to allow parties to ascertain the extent of their liability.”).

20. In addition, federal courts routinely reject the argument specifically advanced by FCA and MOL: that discovery of the settlement agreements is premature unless the non-settling defendants/respondents have been found liable. *See Barclay*, 2013 U.S. Dist. LEXIS 103518, at *10-11; *Levick v. Maimonides Med. Ctr.*, No. 08-03814, 2011 U.S. Dist. LEXIS 47591, at *7 (E.D.N.Y. May 2, 2011) (“To be entitled to discovery of a settlement agreement, the party seeking disclosure of the agreement must simply make a minimal showing that its production is likely to lead to the discovery of other relevant evidence.”).

21. The overarching governing principle is clear: “confidentiality provisions in an agreement cannot be used to shield a settlement agreement from discovery.” *Levick*, 2011 U.S. Dist. LEXIS 47591, at *7; *see also Griffin*, 1997 U.S. Dist. LEXIS 19325, at *6 (“Parties to a litigation cannot modify the Federal Rules of Civil Procedure by stipulation.”). *See also* 46 C.F.R. § 502.141(e)(1) (providing that “[p]arties may obtain discovery regarding any nonprivileged matter that is relevant to any party’s claim or defense”).

WHEREFORE, for the foregoing authority, arguments and reasons, WWL/EUKOR respectfully request (a) that their motion or clarification of the April 2, 2019 initial decision and order be granted, (b) that the confidentiality of the settlement agreement not extend to WWL/EUKOR, subject to the restrictions set forth in paragraph 8, above, and (c) that such other and further relief that is just and proper consistent with this prayer for relief issue.

DATED: April 10, 2019

Respectfully submitted,



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CERTIFICATE OF SERVICE.

I hereby certify that, on April 10, 2019, true and correct copies of the foregoing amended motion and memorandum of respondents' Wallenius Wilhelmsen Logistics AS, Wallenius Wilhelmsen Logistics Americas LLC, and EUKOR Car Carriers Inc. (collectively, "WWL/EUKOR") for clarification of the confidentiality provisions of the April 2, 2019 order and initial decision approving a confidential settlement between complainants Fiat Chrysler Automobiles NV, FCA USA LLC, and FCA Italy S.p.A. (collectively, "FCA") and respondents Mitsui O.S.K. Lines, Ltd. and MOL (America) Inc. (collectively, "MOL") was filed electronically with the Secretary of the Federal Maritime Commission, and electronic copies thereof were sent to all counsel of record in Docket No. 17-09.

DATED: April 10, 2019



Roberto A. Rivera-Soto